CAPITAL IMPROVEMENT PLAN

Quarry Inn & Suites | Charlotte, NC

Property	Quarry Inn & Suites
Plan Date	August 22, 2024
Prepared For	Vireo Income Properties
Total Plan Budget	$149,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Site	07/20/26	Q2 2025	$189,000	$73,109	In progress
Exterior paint	Life Safety	04/13/24	Q4 2026	$200,000	$10,269	Deferred
Sewer line repair	Life Safety	05/14/24	Q2 2027	$770,000	$479,257	In progress
Pool resurfacing	Interior	06/01/25	Q3 2026	$377,000	$77,729	Bidding
Fence replacement	Building	02/28/26	Q2 2027	$635,000	$343,798	Approved
Exterior paint	Site	09/05/24	Q4 2027	$764,000	$726,333	In progress
Amenity renovation	Life Safety	02/26/24	Q2 2026	$257,000	$263,808	Complete
ADA compliance	Building	03/11/23	Q2 2026	$580,000	$297,578	Bidding
Pool resurfacing	Building	08/13/24	Q1 2026	$863,000	$211,683	Bidding
Exterior paint	Site	08/29/24	Q1 2026	$794,000	$359,437	Bidding
Fence replacement	Interior	02/23/25	Q4 2026	$628,000	$645,691	Bidding
Parking lot resurfacing	Life Safety	07/04/24	Q1 2025	$595,000	$595,731	In progress
Exterior paint	Energy	09/10/24	Q3 2027	$530,000	$42,134	Approved
Landscape / irrigation	Life Safety	01/27/26	Q1 2026	$719,000	$205,566	In progress
Water heater replacement	Energy	07/22/26	Q2 2027	$663,000	$142,535	Complete
Security camera upgrade	Site	08/30/26	Q3 2025	$826,000	$596,078	Approved
Exterior paint	Energy	05/19/25	Q1 2027	$833,000	$611,331	Approved
Fire alarm panel upgrade	Site	02/25/25	Q1 2025	$810,000	$387,274	Deferred
Landscape / irrigation	Site	01/08/23	Q4 2025	$283,000	$284,248	Bidding
Fence replacement	Building	03/26/23	Q1 2025	$113,000	$10,854	Approved
Amenity renovation	Interior	07/06/23	Q1 2026	$495,000	$244,256	Deferred
Amenity renovation	Interior	08/31/24	Q2 2026	$234,000	$245,614	Deferred
Exterior paint	Interior	03/02/23	Q2 2025	$58,000	$41,035	Complete

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Landscape / irrigation	Life Safety	11/29/25	Q2 2027	$145,000	$78,546	Deferred
Amenity renovation	Life Safety	05/24/25	Q4 2025	$269,000	$244,275	Approved
LED lighting retrofit	Building	04/26/24	Q2 2025	$407,000	$132,815	Bidding
Signage / monument	Life Safety	06/14/23	Q3 2026	$183,000	$127,448	In progress
HVAC replacement	Site	05/15/25	Q3 2026	$660,000	$238,370	Bidding
HVAC replacement	Energy	08/27/23	Q2 2025	$70,000	$48,664	In progress
ADA compliance	Interior	02/26/24	Q3 2026	$48,000	$37,645	Approved
Pool resurfacing	Energy	11/16/26	Q1 2027	$625,000	$82,325	Bidding
Roof replacement - Bldg D	Energy	09/16/26	Q4 2025	$583,000	$588,076	Approved
Water heater replacement	Site	09/05/24	Q3 2026	$581,000	$163,742	Bidding
Door hardware	Building	12/31/23	Q3 2026	$447,000	$242,257	Approved
Storefront glazing	Building	07/07/24	Q2 2025	$529,000	$226,310	Complete
Elevator modernization	Interior	09/19/25	Q4 2026	$166,000	$120,836	Complete
LED lighting retrofit	Life Safety	05/06/24	Q1 2025	$875,000	$207,915	In progress
Parking lot resurfacing	Energy	02/18/24	Q2 2025	$622,000	$259,447	In progress
Door hardware	Life Safety	02/26/25	Q4 2026	$413,000	$377,740	Complete
Fence replacement	Interior	08/18/23	Q2 2026	$616,000	$352,379	Approved
Sewer line repair	Building	03/12/23	Q1 2027	$141,000	$139,020	In progress
Elevator modernization	Energy	12/19/23	Q1 2025	$733,000	$488,970	Deferred
Unit interior upgrades	Energy	03/06/26	Q4 2025	$429,000	$346,403	Deferred
Sewer line repair	Site	01/18/24	Q1 2025	$328,000	$19,119	Deferred
Roof replacement - Bldg C	Building	07/19/26	Q2 2025	$39,000	$33,670	Approved
Fence replacement	Building	07/06/23	Q4 2026	$85,000	$80,795	Complete
Fire alarm panel upgrade	Site	07/23/25	Q2 2027	$367,000	$24,877	In progress
Sewer line repair	Interior	12/17/24	Q4 2027	$242,000	$118,278	Bidding
Signage / monument	Site	06/03/25	Q1 2027	$808,000	$651,215	Complete
Parking lot resurfacing	Building	11/23/25	Q2 2027	$291,000	$149,736	Complete
Exterior paint	Energy	07/11/23	Q3 2025	$329,000	$8,413	In progress
Water heater replacement	Interior	04/21/23	Q4 2026	$387,000	$311,002	Deferred
Unit interior upgrades	Building	09/24/26	Q3 2026	$734,000	$340,555	In progress
Elevator modernization	Site	12/26/23	Q2 2026	$579,000	$234,025	In progress
Security camera upgrade	Site	11/12/24	Q3 2025	$650,000	$199,447	In progress
Roof replacement - Bldg C	Energy	09/09/23	Q4 2025	$285,000	$246,733	Approved
Amenity renovation	Life Safety	05/07/26	Q3 2025	$813,000	$222,558	Deferred
Sewer line repair	Life Safety	07/31/26	Q1 2025	$10,000	$4,229	Bidding
Door hardware	Site	02/14/26	Q2 2026	$253,000	$65,636	Approved
Signage / monument	Energy	12/06/23	Q3 2027	$226,000	$78,926	Deferred
ADA compliance	Interior	04/11/26	Q2 2027	$533,000	$550,322	Deferred
HVAC replacement	Life Safety	08/04/23	Q1 2026	$825,000	$423,272	In progress
Landscape / irrigation	Interior	01/18/26	Q3 2027	$282,000	$181,273	Complete
Storefront glazing	Interior	08/17/24	Q3 2027	$622,000	$215,418	Bidding
Fire alarm panel upgrade	Site	04/16/24	Q3 2025	$428,000	$397,501	Approved

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Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $365,000.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $37,000. Elevators were last modernized 7 years ago and are operating without deficiency.

Business Plan Progress

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Trailing twelve-month occupancy was 90.4% with an average daily rate of $106 and RevPAR indexing above the competitive set. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 7 meeting rooms.

The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Trailing twelve-month occupancy was 95.1% with an average daily rate of $106 and RevPAR indexing above the competitive set. Projected levered IRR is 7.9% with an equity multiple of 1.7x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 30 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $320,000. Elevators were last modernized 6 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $376,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 4 years ago and are operating without deficiency.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 41 meeting rooms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 10.9% with an equity multiple of 1.17x over the hold period.

Projected levered IRR is 2.7% with an equity multiple of 1.38x over the hold period. Trailing twelve-month occupancy was 90.2% with an average daily rate of $106 and RevPAR indexing above the competitive set. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $22,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Exterior paint	Energy	11/24/24	Q2 2026	$830,000	$704,012	Bidding
Fire alarm panel upgrade	Life Safety	07/24/26	Q1 2025	$67,000	$51,188	Complete
Lobby renovation	Site	09/18/23	Q4 2027	$667,000	$539,507	Complete
Elevator modernization	Interior	12/18/23	Q1 2025	$876,000	$838,225	Approved
Pool resurfacing	Energy	02/24/24	Q4 2027	$394,000	$384,706	In progress
Unit interior upgrades	Interior	06/28/23	Q3 2026	$578,000	$176,804	In progress
Elevator modernization	Site	04/14/26	Q2 2027	$197,000	$70,531	Deferred
Sewer line repair	Site	12/01/26	Q1 2025	$187,000	$38,117	Deferred
Security camera upgrade	Building	01/15/23	Q4 2027	$438,000	$394,854	Deferred
Storefront glazing	Interior	05/07/24	Q4 2026	$700,000	$103,539	Deferred
Amenity renovation	Site	04/01/24	Q1 2025	$429,000	$236,605	Deferred
Fire alarm panel upgrade	Site	03/29/26	Q1 2025	$677,000	$268,845	Complete
HVAC replacement	Site	12/24/23	Q4 2025	$373,000	$8,059	Bidding
Storefront glazing	Site	06/30/23	Q2 2026	$364,000	$235,794	Approved
Fire alarm panel upgrade	Site	03/01/23	Q2 2026	$768,000	$510,860	Deferred
Water heater replacement	Energy	09/15/26	Q1 2025	$556,000	$451,731	In progress
Water heater replacement	Site	10/03/26	Q4 2025	$790,000	$228,385	Bidding
Pool resurfacing	Building	04/21/23	Q4 2025	$516,000	$339,075	Deferred
Door hardware	Life Safety	11/29/23	Q2 2026	$781,000	$406,030	Complete
Water heater replacement	Site	08/17/23	Q1 2025	$622,000	$543,907	In progress
Signage / monument	Site	11/29/23	Q1 2027	$796,000	$128,429	In progress
Sewer line repair	Site	08/05/24	Q2 2025	$876,000	$625,971	Bidding
ADA compliance	Site	03/29/23	Q3 2026	$342,000	$302,600	In progress
Exterior paint	Building	02/17/24	Q4 2027	$37,000	$12,110	In progress
Signage / monument	Life Safety	11/13/23	Q3 2025	$674,000	$200,616	Approved
Elevator modernization	Life Safety	12/04/24	Q1 2025	$363,000	$363,729	Complete
LED lighting retrofit	Life Safety	06/30/25	Q3 2027	$289,000	$51,577	In progress
Elevator modernization	Energy	11/30/24	Q3 2026	$11,000	$6,562	In progress
Unit interior upgrades	Site	11/03/24	Q1 2025	$672,000	$566,124	Deferred
Sewer line repair	Energy	09/28/24	Q1 2025	$490,000	$248,106	In progress
Signage / monument	Life Safety	02/28/23	Q3 2027	$899,000	$547,504	Complete
Signage / monument	Life Safety	09/11/24	Q1 2026	$73,000	$41,978	Deferred
HVAC replacement	Site	03/22/23	Q2 2025	$596,000	$622,399	In progress
Pool resurfacing	Building	10/30/25	Q4 2026	$407,000	$256,964	In progress
Exterior paint	Interior	02/07/25	Q1 2026	$740,000	$312,356	Deferred
Elevator modernization	Site	04/23/26	Q4 2027	$39,000	$22,795	Complete
Signage / monument	Life Safety	01/09/23	Q3 2025	$137,000	$85,024	Deferred
Fire alarm panel upgrade	Building	09/25/25	Q4 2026	$861,000	$503,343	Deferred
LED lighting retrofit	Site	06/15/26	Q3 2027	$768,000	$111,995	Deferred
Lobby renovation	Life Safety	07/29/24	Q1 2027	$837,000	$166,132	Complete

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Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 11 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Risk Considerations

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.0% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 12.4% with an equity multiple of 1.38x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Projected levered IRR is 11.7% with an equity multiple of 1.40x over the hold period. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Trailing twelve-month occupancy was 88.1% with an average daily rate of $106 and RevPAR indexing above the competitive set. Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 8 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $252,000.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 24 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Distributions to investors for the quarter were paid at an annualized rate of 4.4% on contributed capital. Projected levered IRR is 5.0% with an equity multiple of 1.44x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 8.3% with an equity multiple of 1.23x over the hold period.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 8 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $221,000.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Elevator modernization	Life Safety	01/22/25	Q2 2025	$256,000	$24,989	Bidding
Parking lot resurfacing	Life Safety	06/30/24	Q2 2025	$653,000	$204,431	In progress
Pool resurfacing	Site	01/28/26	Q4 2027	$402,000	$404,380	Deferred
ADA compliance	Life Safety	12/31/25	Q4 2027	$378,000	$64,843	Complete
Roof replacement - Bldg B	Site	05/08/24	Q1 2027	$475,000	$318,766	Approved
Sewer line repair	Life Safety	05/08/23	Q2 2025	$380,000	$57,474	In progress
HVAC replacement	Energy	05/10/26	Q1 2025	$746,000	$11,772	Approved
Elevator modernization	Interior	04/24/24	Q1 2025	$34,000	$28,558	Approved
Water heater replacement	Site	08/15/24	Q1 2025	$823,000	$204,243	Bidding
Door hardware	Life Safety	05/22/23	Q2 2025	$569,000	$116,306	In progress
Roof replacement - Bldg A	Interior	03/20/25	Q1 2026	$439,000	$322,456	Approved
Landscape / irrigation	Interior	04/12/23	Q4 2026	$642,000	$456,789	Bidding
Storefront glazing	Building	12/22/25	Q1 2026	$10,000	$4,067	Complete
LED lighting retrofit	Interior	01/23/23	Q4 2025	$43,000	$18,563	Approved
Pool resurfacing	Life Safety	08/18/26	Q1 2025	$191,000	$173,081	Approved
Water heater replacement	Life Safety	08/04/24	Q4 2027	$65,000	$43,169	Complete
Pool resurfacing	Life Safety	03/22/24	Q1 2027	$495,000	$418,615	Deferred
Water heater replacement	Interior	07/10/25	Q1 2026	$41,000	$31,435	Deferred
Storefront glazing	Energy	07/13/23	Q3 2027	$33,000	$9,034	Bidding
LED lighting retrofit	Site	02/11/24	Q3 2026	$355,000	$317,270	Bidding
Exterior paint	Site	09/17/26	Q2 2025	$20,000	$11,693	Bidding
Door hardware	Site	04/06/23	Q4 2026	$657,000	$634,268	Deferred
HVAC replacement	Energy	07/30/26	Q3 2027	$296,000	$117,333	Deferred
Storefront glazing	Interior	03/28/25	Q2 2025	$621,000	$52,143	Complete
Unit interior upgrades	Life Safety	01/19/26	Q2 2025	$71,000	$24,398	Deferred
Fire alarm panel upgrade	Life Safety	12/09/26	Q1 2026	$429,000	$390,645	Complete
LED lighting retrofit	Energy	12/21/23	Q3 2027	$682,000	$54,023	Approved
Roof replacement - Bldg C	Building	03/10/26	Q4 2027	$828,000	$61,242	Complete
Parking lot resurfacing	Life Safety	05/24/26	Q3 2025	$298,000	$199,826	Approved
Parking lot resurfacing	Interior	06/12/25	Q2 2027	$35,000	$396	In progress
Signage / monument	Life Safety	07/04/23	Q1 2027	$171,000	$89,893	Complete
Parking lot resurfacing	Life Safety	01/03/25	Q2 2026	$312,000	$65,706	Bidding
Pool resurfacing	Site	01/28/25	Q4 2026	$297,000	$150,141	Bidding
Fence replacement	Building	09/21/24	Q4 2025	$467,000	$432,371	Approved
Fire alarm panel upgrade	Life Safety	09/15/24	Q2 2027	$341,000	$138,830	Approved
Sewer line repair	Life Safety	02/02/25	Q4 2026	$248,000	$85,481	Complete
ADA compliance	Life Safety	06/24/25	Q4 2027	$824,000	$217,200	In progress
Fire alarm panel upgrade	Site	08/24/23	Q1 2026	$684,000	$176,977	Approved
Lobby renovation	Building	02/07/23	Q2 2027	$713,000	$525,089	In progress
Fence replacement	Interior	04/10/24	Q3 2027	$98,000	$60,714	Complete
Door hardware	Building	11/09/24	Q1 2026	$782,000	$688,830	Complete
Parking lot resurfacing	Interior	11/19/23	Q3 2026	$810,000	$432,846	Complete
Water heater replacement	Building	07/30/24	Q2 2026	$734,000	$346,489	Approved

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Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $226,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 11 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Elevators were last modernized 12 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $172,000.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 13 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 9.5% with an equity multiple of 1.21x over the hold period. Revenue is driven by transient corporate demand, group business and weekend leisure travel.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 48 meeting rooms. Trailing twelve-month occupancy was 90.9% with an average daily rate of $106 and RevPAR indexing above the competitive set. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $53,000. Elevators were last modernized 6 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 3 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $62,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 24 months.

Investor Distributions

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 40 meeting rooms. Trailing twelve-month occupancy was 93.7% with an average daily rate of $106 and RevPAR indexing above the competitive set. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. Projected levered IRR is 6.0% with an equity multiple of 1.3x over the hold period. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 90.7% with an average daily rate of $106 and RevPAR indexing above the competitive set. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Recommendations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Energy	02/22/25	Q2 2026	$420,000	$6,952	Approved
Elevator modernization	Site	03/12/25	Q4 2026	$229,000	$20,328	Complete
ADA compliance	Site	06/19/24	Q4 2025	$375,000	$30,776	Deferred
Amenity renovation	Life Safety	06/01/24	Q3 2026	$455,000	$386,651	Bidding
Exterior paint	Energy	01/07/23	Q2 2027	$763,000	$204,976	Bidding
Unit interior upgrades	Interior	06/15/23	Q1 2026	$46,000	$46,064	In progress
Storefront glazing	Energy	06/15/26	Q3 2026	$765,000	$90,893	Complete
Sewer line repair	Energy	01/20/24	Q4 2025	$224,000	$42,386	Deferred
HVAC replacement	Building	08/07/24	Q2 2025	$695,000	$81,247	Approved
LED lighting retrofit	Building	03/28/25	Q4 2026	$839,000	$453,951	In progress
Door hardware	Site	09/17/26	Q2 2027	$50,000	$24,338	Complete
ADA compliance	Energy	10/17/25	Q1 2025	$416,000	$33,908	Bidding
Exterior paint	Building	02/23/26	Q3 2026	$441,000	$113,725	Bidding
Fire alarm panel upgrade	Building	08/08/25	Q3 2026	$20,000	$2,501	Approved
Exterior paint	Interior	05/16/23	Q3 2026	$49,000	$6,982	Deferred
Unit interior upgrades	Site	10/04/23	Q3 2025	$697,000	$428,520	Deferred
Fence replacement	Site	07/26/23	Q3 2026	$122,000	$127,751	Approved
Pool resurfacing	Site	04/19/23	Q4 2026	$184,000	$98,707	Deferred
Pool resurfacing	Interior	12/02/25	Q2 2026	$688,000	$690,811	Deferred
Amenity renovation	Energy	08/29/26	Q2 2025	$293,000	$34,363	Bidding
Amenity renovation	Site	10/11/26	Q2 2027	$854,000	$762,433	Deferred
Security camera upgrade	Building	07/07/25	Q4 2027	$114,000	$11,247	Bidding
ADA compliance	Building	12/31/25	Q3 2027	$9,000	$2,202	Approved
Security camera upgrade	Site	11/26/24	Q1 2025	$426,000	$71,519	Bidding
Lobby renovation	Interior	08/24/24	Q4 2025	$852,000	$642,725	Complete
Lobby renovation	Building	01/16/24	Q1 2027	$841,000	$264,250	Bidding
Security camera upgrade	Life Safety	11/09/24	Q3 2025	$875,000	$356,765	In progress
Pool resurfacing	Site	08/12/26	Q1 2026	$372,000	$217,327	Complete
Exterior paint	Site	04/19/25	Q2 2025	$874,000	$557,972	Complete
Landscape / irrigation	Interior	01/06/25	Q4 2025	$632,000	$355,889	In progress
Fire alarm panel upgrade	Interior	03/24/23	Q4 2026	$756,000	$357,278	Deferred
HVAC replacement	Building	09/12/24	Q4 2027	$617,000	$597,834	Bidding
Fence replacement	Energy	06/26/24	Q4 2026	$714,000	$91,450	Complete
Storefront glazing	Energy	11/05/24	Q1 2026	$559,000	$223,651	In progress
ADA compliance	Life Safety	11/29/23	Q4 2027	$832,000	$448,784	Deferred
Roof replacement - Bldg A	Site	11/01/26	Q2 2025	$733,000	$398,306	Bidding
Fence replacement	Site	02/20/23	Q3 2027	$542,000	$149,491	Bidding
Elevator modernization	Building	03/20/26	Q1 2026	$616,000	$423,149	Deferred
Fence replacement	Building	11/19/26	Q2 2026	$415,000	$92,488	Bidding
Lobby renovation	Site	05/03/23	Q1 2027	$458,000	$425,240	Bidding
Sewer line repair	Energy	06/06/25	Q4 2025	$521,000	$104,908	Approved
Unit interior upgrades	Site	04/08/24	Q3 2027	$515,000	$194,253	Deferred

Report generated 08/22/2024. Figures are unaudited and subject to change.

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Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $309,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 20 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 12 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $356,000.

Investor Distributions

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 17 meeting rooms.

Projected levered IRR is 10.4% with an equity multiple of 1.16x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 91.1% with an average daily rate of $106 and RevPAR indexing above the competitive set.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $198,000. Elevators were last modernized 11 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $77,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 11 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Risk Considerations

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 43 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Projected levered IRR is 5.9% with an equity multiple of 1.42x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 20 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

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